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ENERGY OUTLOOK



CAN BANGLADESH RECONCILE ENERGY SECURITY NEEDS WITH ENERGY TRANSITION AMBITIONS?

Israt Hossain

Md. Razib and Md. Tuhin Ahmed have argued that Bangladesh's heavy reliance on energy subsidies, driven by fossil fuel imports, poses a significant threat to its fiscal health and macroeconomic stability. They call for urgent reforms, including phasing out blanket subsidies, diversifying the energy mix with a focus on renewables and local gas exploration, and improving institutional governance to build a more resilient and sustainable energy system.

Israt Hossain has highlighted the conflict between Bangladesh's goals of ensuring energy security and transitioning to green energy, noting that ambitious renewable energy targets appear unrealistic due to a continued reliance on fossil fuels and policy inconsistencies. The article points out that while some positive steps like modernizing the power grid are being taken, the cancellation of renewable energy projects and a lack of a consistent, long-term vision are hindering progress towards a sustainable energy future.

THE RISKS OF HEAVY RELIANCE ON ENERGY SUBSIDIES IN BANGLADESH

Md. Razib and Md. Tuhin Ahmed

AN ANALYSIS OF POWER AND ENERGY BUDGET IN THE NATIONAL BUDGET

Afia Mubasshira Tiasha

Afia Mubasshira Tiasha has analyzed the FY2025-26 budget for the power and energy sector. The analysis concludes that while there are positive steps, the slow growth in renewable energy and continued high investment in fossil fuels indicate that Bangladesh is making only incremental progress and needs deeper structural reforms to truly modernize its energy sector.

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Can Bangladesh Reconcile Energy Security Needs with Energy Transition Ambitions?

Israt Hossain

The power and energy sector of Bangladesh has been struggling to prioritize between two conflicting but crucial issues: ensuring energy security and ensuring a just transition towards green and clean energy. To cope up with the world trend and global commitments, Bangladesh has prepared several government documents in the last few years where unrealistic targets were set. The recent draft Renewable Energy Policy 2025 has promised to generate 30% of the total electricity produced from renewable sources by 2040. This target is less ambitious than the target in the Integrated Power Sector Master Plan (30% by 2030 and 40% by 2040), which was passed in the previous government regime. Still, the current target mentioned in the policy and budget documents seems overly ambitious when compared with the current situation. Not only the 30% target, but the current budget document explicitly mentioned an Integrated Power Sector Master Plan where a target of producing 3400 MW electricity from clean sources by 2028 has been set.

There are several reasons why these targets seem unrealistic. According to the National Database of Renewable Energy, only 5.07% power generation in the country comes from renewable energy. The extent of effort needed to move towards the target in this given situation is much higher, consequently. However, that higher extent of effort is not visible in transitioning or promoting renewable energy in the country. Though the transition to renewable energy in power generation is widely accepted and an ambitious target is promised by the Government, the growing reliance on fossil fuel, e.g., oil, LNG etc. raises the question of relevance and practicality of the target. The proposed budget 2025-26 has mentioned several oil and gas exploration projects to ensure the energy security. For example, the second unit of the Eastern Refinery Ltd. has been announced to be established. Additionally, notable gas exploration initiatives by BAPEX have also been mentioned to be in place near future, including survey, drilling wells etc. The existing LNG import trajectory is maintained in the current budget, more LNG will be imported and a vat exemption has been imposed on the import stage of LNG. While energy security is a growing issue for Bangladesh, it is obvious that ensuring energy supply is a priority and the current steps from the government also prove that. Still, it should be considered that making new fossil fuel initiatives is indicative of the continuation of the historical inclination to fossil fuel in contrast with the just energy transition targets.

Beyond the dilemma of these competing priorities, there are some important decisions in the current year budget that could bring positive changes in the transition pathway. The power distribution system has been subject of various discussions to improve efficiency and stability. A modernized power distribution system is required to deal with the intermittency of

renewable energy sources for power generation. The budget this year specifies that the power distribution system is getting modernized in metropolitan areas, indicating an optimistic change towards transition. Additionally, a sub-regional cooperation with Nepal was established through the signing of a trade agreement for importing 40 MW of Hydropower to meet the summer power demand. The Rooppur Nuclear Power Plant was mentioned again in the budget, as in previous years, and the usual expectation that the plant would be functional within this year was expressed. However, the 2400 MW Rooppur power plant has been a topic of argument for different stakeholders in the country and there is ambiguity regarding the expected impacts on energy supply and energy transition from this plant.

Ambiguity and inconsistency are the principal obstacles to the sustainable development of the power and energy sector and the just energy transition. The current budget speech has mentioned that the amount of subsidy given to the power sector is almost 1% of the total GDP most of which is allotted to pay the import bills and bear the costs of the fossil fuel power plants. Here, the confusion arises among the potential investors from other countries as this huge allotment of subsidy is to the power sector rather than spending or subsidizing the renewable energy sector. The targets regarding the production and consumption of renewable energy in the policy plans seem contradictory to this subsidy allotment. The short-term need-based expenditures to keep the whole power generation and distribution functional, is actually taking the whole journey of transition to green and clean energy backwards. Because, transition requires assistance, both financial and technical, which is out of reach due to prioritizing the fossil fuel power generation sources rather than renewable sources. Also, the budget speech mentioned a power generation cost minimizing plan which can reduce the subsidy cost by BDT 11,000 Crore. This announcement generates more confusion than optimism as no specific pathway has been referred.

Over the years, the policy plans regarding the power and energy sector have remained inconsistent and far from practical implementation. The previous year's budget (FY 2024-25) had an announcement of 100 Crore BDT renewable energy funding, which has been discontinued this year with the changed regime. Moreover, 37 Letters of Intent (LOI) were issued in the previous regime for purchasing renewable energy, all of which have been cancelled due to the claim of unsolicited buying proposals. While any unsolicited decisions should be discontinued, it should be reconsidered that cancelling so many renewable energy projects could be a negative indicator for the foreign investors who were intended to invest in the sector.

The political unrest, started from July 2024 is still sustaining

even after the regime change. This instability has made the just transition process more vulnerable and uncertain. This volatile environment discourages domestic and international stakeholders as they find it difficult and uncertain to invest for a long period. Considering the realities, the government could deal with the procurement and feasibility concerns of the existing projects through project redesigning, rather than cancelling those. Also, to ensure transparency, competitive bidding procedures should be well-established. Policy consistency

irrespective of regime change, is crucial for building trust and sustaining momentum toward transition targets. To implement this, Bangladesh needs a consecutive budget each year, harmonized with the preceding budgets regarding the decisions in the power and energy sector to ensure policy and objective consistency.

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The Risks of Heavy Reliance on Energy Subsidies in Bangladesh: A Call for Rational Reform

Md. Razib and Md. Tuhin Ahmed

Bangladesh's heavy reliance on fossil fuel imports has emerged as a major threat to its fiscal health and overall macroeconomic stability. Despite mounting fiscal pressures and increasing volatility in the international energy market, the country has continued to raise its subsidy allocations for the power and energy sector. In the national budget for FY 2025–26, the Government of Bangladesh (GoB) allocated BDT 37,000 crore in subsidies for the power and energy sector—slightly lower than the originally proposed BDT 40,000 crore for FY 2024–25. However, the revised power subsidy for FY 2024–25 was later increased to BDT 62,000 crore. The proposed subsidy of BDT 37,000 crore for FY 2025–26 represents a substantial reduction from the revised allocation of BDT 62,000 crore in the previous fiscal year. Nevertheless, it remains uncertain whether this reduction will hold, as the government may revise the subsidy upward once again, following the pattern of previous fiscal adjustments.

The Government of Bangladesh (GoB) proposed an overall subsidy allocation of BDT 1,15,000 crore for FY 2024–25. However, this amount increased to BDT 1,33,000 crore after the interim government cleared most overdue payments across several sectors. For FY 2025–26, a subsidy allocation of BDT 1,15,741 crore has been proposed—remaining nearly unchanged from the initial FY 2024–25 budget proposal. The lion's share of these subsidies is allocated to the power and energy sector. One of the primary reasons is the country's growing dependence on imported fossil fuels, including crude oil, diesel, furnace oil, coal, and LNG. The global rise in fossil fuel prices—exacerbated by the Russia-Ukraine war—has significantly increased the cost of power generation. Additionally, the depreciation of the Bangladeshi taka has made these imports even more expensive, placing further strain on the government's subsidy burden. This vulnerability is evident in the revised FY 2024–25 budget, where the originally allocated BDT 40,000 crore for energy subsidies had to be increased to BDT 62,000 crore to cover mounting arrears and rising import costs. This trend highlights a structural issue: Bangladesh's energy sector remains heavily dependent on external market dynamics, making it highly susceptible to exogenous price shocks that could destabilize the broader economy.

The risks are further heightened by ongoing geopolitical tensions. The current Iran-Israel conflict poses a significant threat to the global energy market, particularly due to potential disruptions in the Strait of Hormuz. This critical chokepoint facilitates the daily movement of over 20 million barrels of oil and substantial volumes of liquefied natural gas—accounting for nearly one-fifth of the world's total supply. A temporary blockade could push oil prices above \$100 per barrel (as projected by Goldman Sachs, 2025), which would sharply increase the cost of energy imports for Bangladesh. Such a surge in import costs would raise electricity generation expenses, disrupt industrial activity, and increase costs in the transport and agriculture sectors. These developments would, in turn, fuel inflation, elevate the cost of living, and constrain both public and private investment.

In addition, a rising import bill would place an immense burden on the country's already strained foreign exchange reserves, potentially triggering further depreciation of the taka. A weakened taka, in turn, would increase the cost of all imports, potentially setting off an inflationary spiral that may become difficult to control. Although the government has attempted to cushion the impact through subsidies, this approach is neither fiscally sustainable nor economically efficient. Blanket subsidies, particularly in the power sector, shield inefficient production systems and delay much-needed reforms. Underutilized power plants continue to receive high capacity payments from the government, resulting in wasted resources—funds that could otherwise be redirected to more productive sectors.

The existing structure of subsidies also suffers from distributional inefficiency. A significant portion of energy subsidies benefits wealthier households and industries, rather than the low-income groups they are intended to support. This regressive outcome stems from poor targeting mechanisms and weak institutional coordination. The continuation of such subsidies not only imposes a heavy fiscal burden but also limits the government's capacity to invest in modern energy infrastructure, renewable energy sources, and essential social development programs. Despite these challenges, the FY 2025–26 budget reflects only marginal reforms. Although the energy subsidy has been slightly reduced to BDT 37,000 crore, the allocation for LNG subsidies has been

increased from BDT 6,000 crore to BDT 9,000 crore—clearly indicating a continued reliance on the volatile international energy market.

With further attention, Bangladesh should embark on rationalising energy subsidies. Bangladesh needs to adopt a medium-term roadmap to reform its energy subsidy regime immediately that balances fiscal prudence with energy security and equity. This involves improving energy efficiency by enhancing transmission infrastructure and energy audits, phasing out outdated and underperforming power plants, and renegotiating expensive power purchase agreements with independent producers. The energy mix shall also require diversification by investing in local gas exploration and an expedited transition to renewable energy sources. The government of Bangladesh needs to aggressively pursue renewable energy projects, particularly solar and wind projects, in order to reduce the increased dependency on imported fossil fuels. Even though the Rooppur Nuclear Power Plant as well as the Matarbari coal-fired plant are likely to ease the burden in the system with regard to energy imports, a comprehensive, broader strategy focused on cost-effective, affordable, and sustainable solutions is necessary. The government would use the aspect of public-private partnerships (PPPs) to fund gas exploration activities and appeal to international oil companies (IOCs) through, say, attractive but fair conditions. Effectively employed PPP models and international collaborations can enhance domestic gas production and decrease import dependency. Moreover, subsidies should be replaced with targeted cash transfers to vulnerable households using a digital financial platform, maintaining equity and cutting down fiscal wastage. Meanwhile, the government should introduce a transparent pricing mechanism for the fuel prices that reflects global prices

while incorporating a buffer to manage shocks. High taxes on solar equipment should also be revised to promote cleaner and domestically sourced energy.

The reforms of the institutions are also crucial. Other important reforms on energy governance, like reducing corruption, enhancing transparency, and developing competitive energy markets, are essential in Bangladesh. State-owned companies have generated substantial inefficiencies and corruption that have led to inflated costs and diminishing effectiveness. An effective and coordinated planning among the Ministry of Finance, Energy Division, BERC and Petrobangla is needed in order to minimise budgeting, track down system losses and implement reform measures. Without a credible and coherent policy approach, Bangladesh risks falling into a persistent cycle of fiscal deficits, currency instability, and energy insecurity. The country can no longer afford to remain reactive in its energy policy, especially in a global context shaped by geopolitical uncertainty and climate transition risks. A well-targeted, proactive, and fiscally responsible subsidy reform strategy is necessary to safeguard Bangladesh's economic future. The rationalization of energy subsidies is, therefore, very crucial not just to provide fiscal relief but to build a more resilient, equitable, and sustainable energy system for the future.

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An Analysis of Power and Energy Budget in the National Budget

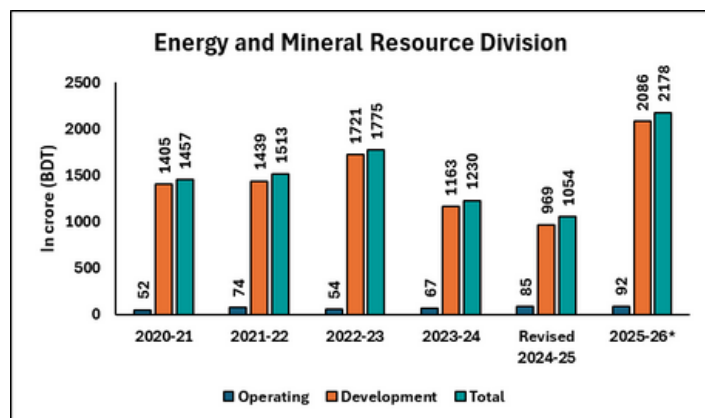
Afia Mubasshira Tiasha

Undoubtedly, a continuous and uninterrupted energy supply is crucial for sustaining Bangladesh's growth momentum and addressing its development issues. Upgrading the transmission lines, settling past due debts and finishing some ongoing projects are the main primary goals of this year's power and energy sector budget. The government has allocated this year's budget at tk 7.90 lakh crore. It is a bit lower than the previous year's which reflects that the government is more concerned about spending and the economy. Although the budget speech seems encouraging, there are still several issues that need to be resolved. In the context of the national budget for the 2025-26 fiscal year, Tk 2,178 crore has been allocated to the energy sector and Tk 20,342 crore to the power sector. The total allocation is Tk 22,520 crore, reflecting a decrease of approximately 0.80% from the proposed budget of the current fiscal year (Figure 1 and 2).

One of the key measures taken in this year's budget was the repeal of the Quick Enhancement of Electricity and Energy Supply (Special Provision) Act 2010. This measure is taken to enhance transparency and accountability in the power sector. Moreover, a national committee has been established to evaluate agreements executed under this legislation. Also, to review and revise the power purchase agreements' (PPAs') tariff structures, a different committee has been formulated. Many PPAs have been proven to be financially problematic due to their requirement for costly capacity payments to idle power facilities. These measures may result in better transparency. This success depends on political will, independent review panels, and public access to the consequences.

To make the power distribution system more reliable and effective, underground distribution lines and substations are

Figure 1: Budget of the EMR Division Over the Years



Source: Finance Division, Ministry of Finance

*Proposed Budget

currently being installed in metropolitan areas. This is a part of the power distribution system's modernisation. The interim government focused the majority of its budget on upgrading the grid network and distribution lines across six divisions rather than establishing any new power plants. Moreover, the government is hoping to supply electricity from the 2400 MW Rooppur Nuclear Power plant to the national grid by December of this year, since the construction process is expected to end soon. Furthermore, allocations have been made to ongoing initiatives such as the 1,200 MW coal-based Matarbari power plant, the 800 MW gas-fired Rupsha plant, and the 150 MW HSD-based Syedpur power plant.

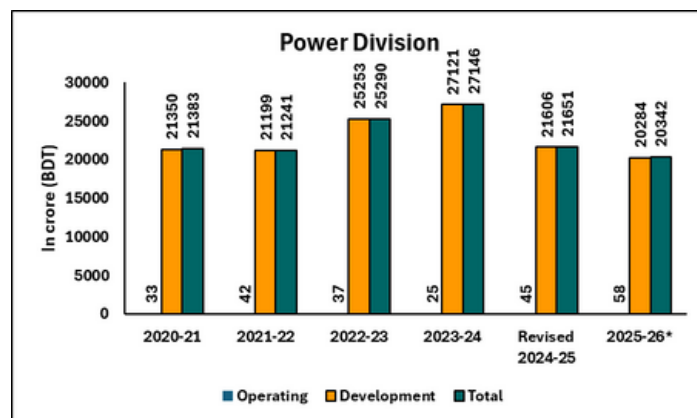
These steps are good, but they are less compared to Bangladesh's big energy problems. Right now, renewable energy makes up less than 4% of total capacity. The government plans to add 3,400 MW of clean energy by 2028, but this is still too slow.

In the FY26 budget, the government set aside Tk 37,000 crore for power sector subsidies. This is less than the Tk 40,000 crore given at first in the previous year. The amount was later raised to Tk 62,000 crore in the revised budget because the interim government cleared majority of the unpaid bills.

On a positive note, in October 2024, Bangladesh signed a deal with Nepal to import 40 MW of hydropower at a low cost. This is a small amount, but it shows that regional electricity trade is growing. This kind of trade is important to make the energy supply stronger and to use different sources, especially during the hot summer months.

However, at the same time, the government is still spending a lot on fossil fuels. BAPX has plans for a 270 km geological survey, a 700 km 2D seismic survey, and a 700 sq km 3D seismic survey from FY2025-26 to FY2027-28. Also, it intends to drill 69 wells and finish the workover of 31 wells with its own rigs. Simultaneously, initiatives are underway to construct cost-effective and sustainable infrastructure to assist regulate energy prices in the medium term. The government is also planning to import 6.56 million tonnes of LNG, showing that it still depends on foreign energy, even though the world is asking for cleaner options.

Figure 2: Budget of the Power Division Over the Years



Source: Finance Division, Ministry of Finance

*Proposed Budget

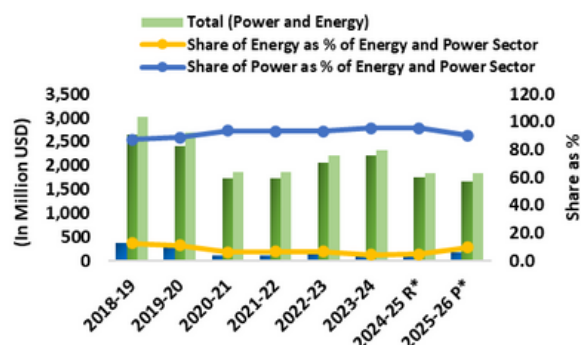
Additionally, the government has proposed to expand the gas pipeline network by 40 km to improve pressure and delivery at the consumer level. To improve gas monitoring and reduce system loss, SCADA (Supervisory Control and Data Acquisition) and GIS (Geographic Information System) technologies will be introduced in the existing gas network, an encouraging move toward digital management of energy infrastructure.

In the oil sector, a new project will build Eastern Refinery Limited, Unit-2, which can refine 3 million metric tons of crude oil each year. At the same time, the government paid \$570 million in import dues to help keep fuel supplies steady. To improve control, Vehicle Tracking System (VTS) devices using SFDMS technology have been added to over 2,465 fuel tankers. This allows real-time tracking and helps prevent fuel theft or mixing.

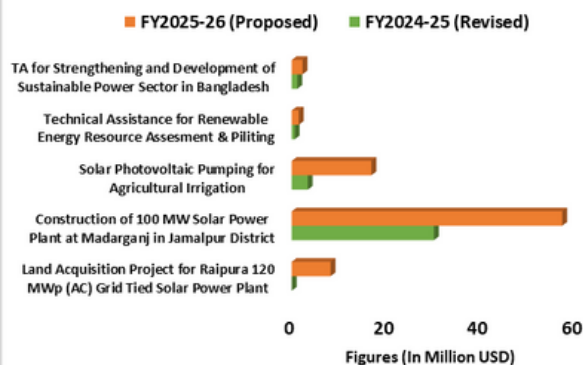
The FY2025-26 budget includes several important projects to make Bangladesh's energy sector stronger and more efficient. These include expanding transmission lines and increasing the capacity of grid substations to ensure more reliable power. Reducing system losses and unpaid bills in the distribution system is also a top priority. The government will also review current power generation projects and work to increase electricity trade with nearby countries to improve output and save costs. In terms of resources, the plan includes mining 6.5 lakh metric tons of coal and 1.3 lakh metric tons of stone from within the country. To improve and modernize the gas system, the government will also install SCADA systems and use GIS mapping tools.

In summary, the FY2025-26 power and energy budget focuses on slow but steady changes. While there are signs of better planning and more openness, long-term success is still a concern because renewable energy is growing too slowly and fossil fuel use remains high. Bangladesh needs to make deeper changes in policy and structure to truly modernize its energy sector, not just rely on small fixes.

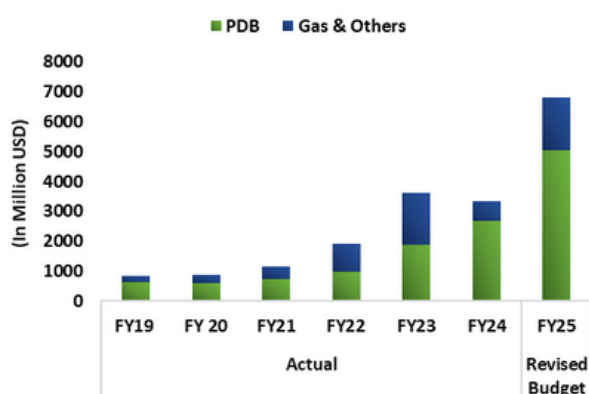
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Figure 1: Share of Energy and Power as % of Total Energy and Power Sector


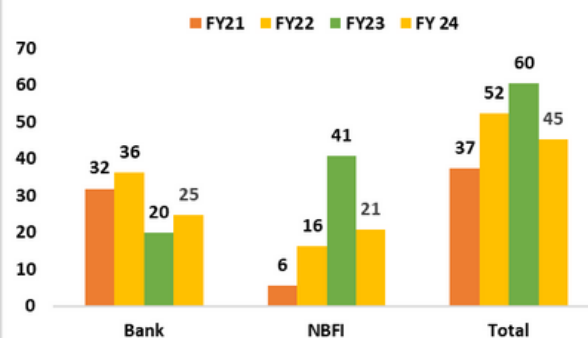
Source: Finance Division, Ministry of Finance

Figure 2: Renewable Energy Allocation in ADP FY2025-26


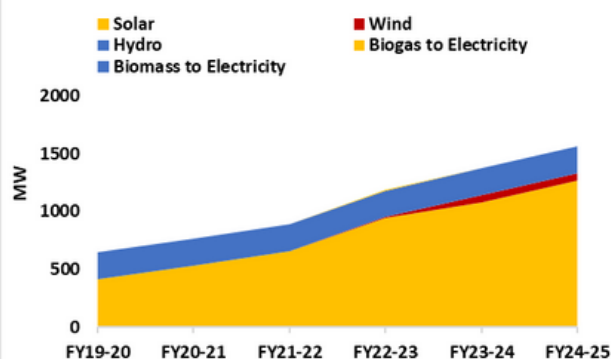
Source: Finance Division, Ministry of Finance

Figure 3: Subsidy Allocation in PDB and Gas sector


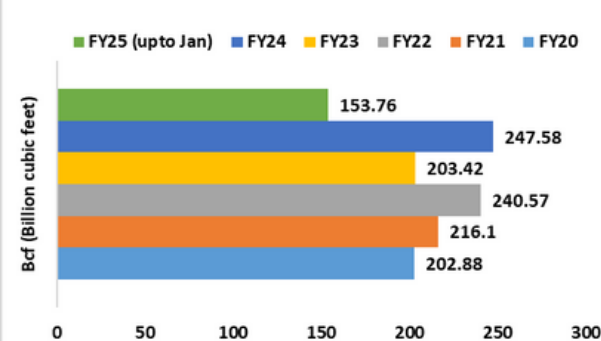
Source: MTMPS (2025-26)

Figure 4: Bangladesh's Renewable Energy Financing by Banks and NBFIs (In Million USD)


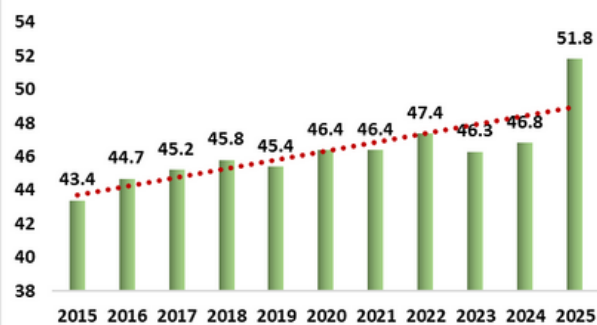
Source: Bangladesh Bank (BB)

Figure 5: Renewable Energy Share (Installed Capacity)


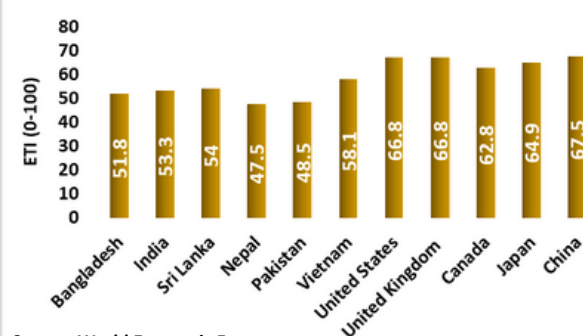
Source: SREDA

Figure 6: LNG Import Scenario in Bangladesh


Source: Hydrocarbon Unit, Energy and Mineral Resources Division

Figure 7: Bangladesh's Performance in Energy Transition Index (0-100)


Source: World Economic Forum

Figure 8: Energy Transition Index Score 2025 (Cross-Country Comparison)


Source: World Economic Forum